

Section : Economics

Q.1 Which of the following statements is correct with reference to the Cash Reserve Ratio (CRR)?

- A. The RBI decides a certain percentage of deposits which every bank must keep as reserves with the central bank
 - B. To ensure that no bank is 'over lending'
 - C. This is a legal requirement and is binding on the banks
 - D. Cash Reserve Ratio and Statutory Liquidity Ratio are the same concept.
- Choose the correct answer from the options given below:

- 1. (A), (B) and (D) only
- 2. (A), (B) and (C) only
- 3. (A), (B), (C) and (D)
- 4. (B), (C) and (D) only

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.2 Who is regarded as the father of modern economics?

- 1. Adam Smith.
- 2. John Maynard Keynes.
- 3. Amartya Sen.
- 4. Abraham Maslow.

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.3 The basis of the difference in Income and product method of National Income Accounting is best deciphered by which of the following?

- 1. Product method measures the aggregate value of final goods and services produced by all the firms.
- 2. Income method measures the sum total of consumption expenditure.
- 3. Product method refers to the final consumption expenditure on the goods and services produced by the firm.
- 4. Income method refers to the fixed cost of the goods and services produced by the firm.

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.4 When the interest rate is very high, newspapers and media channels are predicting that it may fall in future and hence anticipate capital gains from bond-holdings. Hence, people convert their money into bonds. In the above statement, which motive of money is highlighted?

- 1. Transaction Motive
- 2. Speculative Motive
- 3. Demonetisation Motive
- 4. Precautionary Motive

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.5 Gross Domestic Product at Market Price is the?

- 1. Gross Domestic Product at market price less net product taxes.
- 2. Market value of all final goods and services produced within a domestic territory of a country measured in a given financial year.
- 3. Expenditure to maintain the current GDP level.
- 4. Income earned by factors in the form of interest, profit, wages within the domestic territory of a country.

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.6 Personal Disposable Income is?

- 1. The part of Aggregate Income which belongs to the household.
- 2. The part of Aggregate Income which belongs to the Government.
- 3. The part of Aggregate Income which belongs to the firm.
- 4. The part of Aggregate Income which belongs to the rest of the world.

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.7 Which of the following is correct regarding National Income Accounting ?

- 1. In order to compare the GDP figures of the same countries at different points of time, nominal GDP is used.
- 2. In order to compare the GDP figures of different countries, real GDP is used.
- 3. Flows are defined at a particular point of time.
- 4. Stocks are defined over a period of time.

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.8 Consider the statements about Open Market Operations (OMO);

- (A) OMO is a tool by which the Reserve Bank of India(RBI) controls money supply.
 - (B) OMO is an example of Qualitative Control.
 - (C) Selling bonds through RBI reduces the money supply.
 - (D) Outright OMOs are permanent in nature.
- Choose the correct answer from the options given below:

- 1. (A), (B), (C), (D)
- 2. Only (A), (B), (C)
- 3. Only (A), (C), (D)
- 4. Only (A), (D)

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.9 Arrange the following as per the theory of the 'Paradox of Thrift':

- (A) Marginal Propensity to consume decreases.
- (B) Amount of savings decreases.
- (C) People become more thrifty.
- (D) Equilibrium level of income decreases.

Choose the correct answer from the options given below:

- 1. (C), (A), (D), (B)
- 2. (A), (C), (B), (D)
- 3. (B), (A), (C), (D)
- 4. (C), (B), (A), (D)

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.10 Match List-I with List-II

List-I

List-II

- (A) Price elasticity of demand will be equal to 1
- (I) When expenditure increases with a rise in price.

List-I

(B) Price elasticity of demand will be equal to 0

(C) Price elasticity of demand will be more than 1

(D) Price elasticity of demand will be less than 1

List-II

(II) When expenditure decreases with a rise in price.

(III) When the quantity demanded doesn't change with the change in price.

(IV) When expenditure doesn't change with the change in price.

Choose the correct answer from the options given below:

1. (A) - (I), (B) - (II), (C) - (III), (D) - (IV)
2. (A) - (III), (B) - (IV), (C) - (II), (D) - (I)
3. (A) - (IV), (B) - (III), (C) - (II), (D) - (I)
4. (A) - (IV), (B) - (III), (C) - (I), (D) - (II)

Options 1. 1

2. 2

3. 3

4. 4

Q.11 Match List-I with List-II**List-I**

(A) Upper limit on price of goods & services

(B) Free entry and exit

(C) Marginal revenue product of labor (MRP_L)

(D) Lower limit on price of goods & services

List-II

(I) Leads to excess supply.

(II) Equilibrium price = min AC of the firms.

(III) Leads to excess demand.

(IV) $MR \times MR_L$.

Choose the correct answer from the options given below:

1. (A) - (I), (B) - (II), (C) - (III), (D) - (IV)
2. (A) - (III), (B) - (II), (C) - (IV), (D) - (I)
3. (A) - (IV), (B) - (III), (C) - (II), (D) - (I)
4. (A) - (IV), (B) - (III), (C) - (I), (D) - (II)

Options 1. 1

2. 2

3. 3

4. 4

Q.12 Which government body is responsible for reporting GDP in India?

1. Department of Revenue
2. Central Board of Direct Taxes
3. Central Statistics Office
4. Niti Ayog

Options 1. 1

2. 2

3. 3

4. 4

Q.13 Arrange the following statements considering the shape of long run marginal costs (LRMC).

- (A) As output increases, LRAC initially falls ($MC < AC$).
- (B) For the first unit of output, both LRMC and LRAC are the same.
- (C) After a certain point, LRAC rises ($MC > AC$).
- (D) LRMC curve is therefore a 'U'-shaped curve.

Choose the correct answer from the options given below:

- 1. (A), (B), (C), (D)
- 2. (B), (A), (C), (D)
- 3. (B), (A), (D), (C)
- 4. (C), (B), (D), (A)

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.14 Which of the following would appropriately define a budget set?

- 1. $P_1X_1 + P_2X_2 \geq M$.
- 2. $P_1X_1 + P_2X_2 < M$.
- 3. $P_1X_1 + P_2X_2 > M$.
- 4. $P_1X_1 + P_2X_2 \leq M$.

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.15 This is the index of prices of a given basket of commodities which are bought by the representative customer. Two years under consideration are kept - one is the base year, the other is the current year. First, the cost of purchase of a given basket of commodities in the base year is calculated. Then the cost of purchase of the same basket in the current year is calculated. Then we express the latter as a percentage of the former.

This index is called:

- 1. Customer Index Pricing
- 2. Consumer Index Pricing
- 3. Consumer Price Index
- 4. Customer Price Index

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.16 Match List-I with List-II

List-I List-II

- A. MPS I. Saving per unit of Income.
- B. MPC II. Consumption per unit of Income
- C. APS III. Change in consumption per unit change in income.
- D. APC IV. Change in savings per unit change in income.

Choose the correct answer from the options given below:

- 1. (A) – (I), (B) – (II), (C) – (III), (D) – (IV)
- 2. (A) – (I), (B) – (III), (C) – (II), (D) – (IV)
- 3. (A) – (IV), (B) – (III), (C) – (I), (D) – (II)
- 4. (A) – (III), (B) – (IV), (C) – (I), (D) – (II)

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.17 Official reserve sale refers to

- 1. The reserve bank sells foreign exchange when there is a deficit.
- 2. The International Monetary Fund sells foreign exchange when there is a deficit.

3. Net consequences of autonomous transactions.
4. The agreement in which national currencies are traded for one another.

Options 1. 1

2. 2
3. 3
4. 4

Q.18 The short run supply curve is represented as?

1. The rising part of the marginal cost curve.
2. The rising part of the marginal cost curve from and above the minimum average variable cost curve.
3. The rising part of the marginal cost curve from and above the minimum average cost curve.
4. The marginal cost curve.

Options 1. 1

2. 2
3. 3
4. 4

Q.19 According to.....If the marginal propensity to save in the economy increases, the total value of saving in the economy will not increase.

1. Demand Elasticity
2. Parametric Shift
3. Ex-ante Investment
4. Paradox of Thrift

Options 1. 1

2. 2
3. 3
4. 4

Q.20 A point outside the Production Possibility Curve represents:

1. A combination of goods can be produced but resources are underutilized.
2. A combination of goods can be produced, and the resources are fully utilized.
3. A combination of goods can not be produced as it is beyond the capacity of the economy.
4. A combination of goods can be produced and resources are appropriately utilized.

Options 1. 1

2. 2
3. 3
4. 4

Q.21 Arrange the following money supply measures in chronological order.

- (A) Excess supply will prevail in the economy.
(B) The tendency of prices to change to restore equilibrium.
(C) Suppose market supply is greater than market demand at a given price.
(D) Hence, the market is not in equilibrium.

Choose the correct answer from the options given below:

1. (C), (A), (D), (B)
2. (B), (A), (C), (D)
3. (B), (A), (D), (C)
4. (C), (B), (D), (A)

Options 1. 1

2. 2
3. 3
4. 4

Q.22 It is difficult to record all international transactions accurately. Thus, there is a third element of Balance of Payment (BOP) (apart from the current and capital accounts) which adjusts inaccuracies to some extent that is called;

1. Reserves Change

- 2. Overall Balance
- 3. Errors and Omissions
- 4. Other Flows

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.23 Which of the following statements are correctly explaining the relationship between the marginal revenue (MR) and price elasticity of demand?

- (A). Price elasticity is less than 1 when MR is negative.
 - (B). Price elasticity is more than 1 when MR is negative.
 - (C). Price elasticity is more than 1 when MR is positive.
 - (D). Price elasticity is less than 1 when MR is positive.
- Choose the correct answer from the options given below:

- 1. (A) and (D) only
- 2. (A) and (B) only
- 3. (B) and (D) only
- 4. (A) and (C) only

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.24 Match List-I with List-II

List-I

(A) Real GDP

(B) Nominal GDP

(C) Consumer Price Index

(D) Wholesale Price Index

List-II

(I) Commodities traded in bulk.

(II) GDP evaluated at constant prices.

(III) Commodities bought by representative consumers.

(IV) GDP evaluated at current market prices.

Choose the correct answer from the options given below:

- 1. (A) – (I), (B) – (II), (C) – (III), (D) – (IV)
- 2. (A) – (II), (B) – (IV), (C) – (III), (D) – (I)
- 3. (A) – (I) (B) – (IV), (C) – (III), (D) – (II)
- 4. (A) – (IV), (B) – (I), (C) – (III), (D) – (II)

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.25 Consider the following statement related to investment:

(A) The common notion is that investment is using money to buy physical or financial assets.

(B) From an economist's view, investment is capital formation.

(C) While measuring the final output, the portion which comprises capital goods, is the **Gross Investment** of an Economy.

(D) The common and economic view regarding investment does not make any difference. It is the same.

Choose the correct answer from the options given below:

- 1. (A), (B) and (C) only
- 2. (A), (B) and (D) only
- 3. (A), (B), (C) and (D)
- 4. (B), (C) and (D) only

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.26 What would be the value of the Marginal Rate of Substitution (MRS) when Good-X increases by 5 with the decrease of Good-Y by 15?

- 1. -2.5

2. -0.66
3. -3
4. 0.66

Options 1. 1

2. 2
3. 3
4. 4

Q.27 Arrange the following in correct sequence with respect to exchange rate :-

- (A) The central bank purchases dollars to absorb the excess supply.
(B) The exchange rate is fixed by the government higher than the market rate of exchange.
(C) The government wants to encourage exports.
(D) Supply of the dollars exceeds the demand for the dollar.

Choose the correct answer from the options given below:

1. (B), (A), (D), (C).
2. (D), (A), (C), (B).
3. (C), (A), (D), (B).
4. (C), (B), (D), (A).

Options 1. 1

2. 2
3. 3
4. 4

Q.28 How would the decrease in the price of Good-X impact the budget line, when the price of Good-Y and Income remain unchanged?

1. The intercept points of both Good-X and Good-Y will shift outward.
2. The intercept point of Good-X will shift outward and the intercept point of Good-Y will remain unchanged.
3. The intercept point of Good-X will shift inward and the intercept point of Good-Y will remain unchanged.
4. The intercept points of both Good-X and Good-Y will shift inward.

Options 1. 1

2. 2
3. 3
4. 4

Q.29 Which of the following statements is correct about commercial banks ?

- A. Considered as Money Creating system of the Indian Economy
B. They accept deposits from the public at a lower interest rate and lend out part of these funds at a higher interest rate
C. The difference between the interest rate paid to depositors and charged for lending is called "Spread".
D. Commercial banks in isolation control the money supply in India.

Choose the correct answer from the options given below:

1. (A), (B), (C) and D
2. (A), (B) and (D) only
3. (A), (B) and (C) only
4. (A) and (D) only

Options 1. 1

2. 2
3. 3
4. 4

Q.30 How is the value of the average product calculated in the short-run?

1. By dividing the total product by the number of labor.
2. By dividing the change in total product by the change in labor.
3. By dividing the change in total product by the number of labor.
4. By dividing the total product by the change in labor.

Options 1. 1

2. 2
3. 3
4. 4

- Q.31** The book 'An Enquiry into the Nature and Causes of the Wealth of Nations' is written by;
1. J. M. Keynes
 2. David Ricardo
 3. Adam Smith
 4. Karl Marx

Options 1. 1

2. 2
3. 3
4. 4

- Q.32** Arrange the following steps of determination of equilibrium income in chronological order if
 $C = 40 + 0.8Y$ $I = 10$
(A) $Y = C + I$
(B) $0.2Y = 50$
(C) $Y = 50 + 0.8Y$
(D) $Y = 250$

Choose the correct answer from the options given below:

1. (A), (B), (C), (D)
2. (A), (C), (B), (D)
3. (B), (A), (D), (C)
4. (C), (B), (D), (A)

Options 1. 1

2. 2
3. 3
4. 4

- Q.33** Which of the following is not the central problem of the economy?
1. Why are the goods produced?
 2. What to produce?
 3. How are the goods produced?
 4. For whom are the goods produced?

Options 1. 1

2. 2
3. 3
4. 4

- Q.34** What would be the equilibrium number of firms in a market of identical firms, when market demand function (Q_d), supply function of a single firm (Q_{s1}) and equilibrium price (P) are given as
 $Q_d = 180 - 2P$
 $Q_{s1} = 15 + P$
 $P = 15$

1. 5
2. 6
3. 8
4. 9

Options 1. 1

2. 2
3. 3
4. 4

- Q.35** Why indifference curves are convex to origin?
1. Due to the constant market rate of exchange.
 2. Due to the increasing marginal rate of substitution.
 3. Due to the constant marginal rate of substitution.
 4. Due to a diminishing marginal rate of substitution.

Options 1. 1

2. 2
3. 3
4. 4

- Q.36 The General Theory of Employment, Interest and Money was published in.....and by.....
1. 2025, Adam Smith.
 2. 1935, John Maynard Keynes.
 3. 1936, John Maynard Keynes.
 4. 1932, David Ricardo.

Options 1. 1

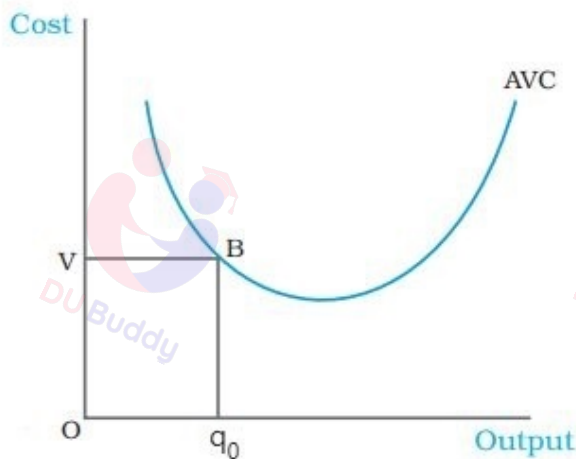
2. 2

3. 3

4. 4

Q.37

What does the rectangle OVBq₀ depicts in the given figure?



1. Average variable cost
2. Average cost
3. Total variable cost
4. Total cost

Options 1. 1

2. 2

3. 3

4. 4

- Q.38 The rate at which Reserve Bank of India gives loans to the commercial Bank for longer duration;
1. Repo Rate.
 2. Reverse Repo Rate.
 3. Bank Rate.
 4. Saving Rate.

Options 1. 1

2. 2

3. 3

4. 4

Q.39

Match the following:

List -I

List -II

- | | |
|--------------------------|-----------------------|
| (A) Direct Investment | (I) Bilateral Loans |
| (B) Portfolio Investment | (II) Equity Capital |
| (C) External Borrowing | (III) Off Shore Funds |
| (D) External Assistance | (IV) Short Term Debt |

Which of the following combination is a correct match of the above?

1. (A) - (I), (B) - (II), (C) - (IV), (D) - (III)
2. (A) - (I), (B) - (II), (C) - (III), (D) - (IV)
3. (A) - (II), (B) - (III), (C) - (IV), (D) - (I)
4. (A) - (III), (B) - (IV), (C) - (I), (D) - (II)

Options 1. 1

2. 2
3. 3
4. 4

Q.40 When income increases, consumer spending increases. Spending on imported goods is also likely to.....

1. Decrease.
2. Constant.
3. Increase.
4. Maybe an increase or maybe decrease.

Options 1. 1

2. 2
3. 3
4. 4

Q.41 Read the given paragraph carefully and answer the following questions.
Government Budget

The Indian economy is on a strong wicket and stable footing, demonstrating resilience in the face of geopolitical challenges. The Indian economy has consolidated its post-Covid recovery with policymakers fiscal and monetary ensuring economic and financial stability. Nonetheless, change is the only constant for a country with high growth aspirations. For the recovery to be sustained, there has to be heavy lifting on the domestic front because the environment has become extraordinarily difficult to reach agreements on key global issues such as trade, investment and climate. The headline inflation rate is largely under control, although the inflation rate for some specific food items is elevated. The trade deficit was lower in FY24 than in FY23, and the current account deficit for the year is around 0.7% of GDP. In fact, the current account registered a surplus in the last quarter of the financial year. Foreign exchange reserves are ample. Public investment has sustained capital formation in the last several years even as the private sector shed its balance sheet blues and began investing in FY22. Now, it has to receive the baton from the public sector and sustain the investment momentum in the economy. The signs are encouraging. National income data show that non-financial private-sector capital formation, measured in current prices, expanded vigorously.

The headline inflation rate is largely under control, although the inflation rate for some specific food items is elevated.

In the above statement, what is meant by control?

1. Within the range of the acceptable inflation rate.
2. Price rise of basic consumption item is not in control.
3. Price of items for daily consumption are growing in such a manner that they are manageable through implementing policy tools if need arises.
4. No price rise has been witnessed.

Options 1. 1

2. 2
3. 3
4. 4

Q.42 Read the given paragraph carefully and answer the following questions.
Government Budget

The Indian economy is on a strong wicket and stable footing, demonstrating resilience in the face of geopolitical challenges. The Indian economy has consolidated its post-Covid recovery with policymakers fiscal and monetary ensuring economic and financial stability. Nonetheless, change is the only constant for a country with high growth aspirations. For the recovery to be sustained, there has to be heavy lifting on the domestic front because the environment has become extraordinarily difficult to reach agreements on key global issues such as trade, investment and climate. The headline inflation rate is largely under control, although the inflation rate for some specific food items is elevated. The trade deficit was lower in FY24 than in FY23, and the current account

deficit for the year is around 0.7% of GDP. In fact, the current account registered a surplus in the last quarter of the financial year. Foreign exchange reserves are ample. Public investment has sustained capital formation in the last several years even as the private sector shed its balance sheet blues and began investing in FY22. Now, it has to receive the baton from the public sector and sustain the investment momentum in the economy. The signs are encouraging. National income data show that non-financial private-sector capital formation, measured in current prices, expanded vigorously.

Which combination among the following represents a Geopolitical challenge in the economy.

- A. Rise in inflation due to war and other natural calamities.
 - B. Fluctuation in economic benchmarks due to unstable government.
 - C. Impacting Balance of Payment due to economic sanctions on a country.
 - D. Failure of a firm led to a reduction in profit making.
- 1. (A), (C) and (D) only
 - 2. (A), (B), (C) and (D)
 - 3. (A), (B) and (C) only
 - 4. (A) and (D) only

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.43 Read the given paragraph carefully and answer the following questions.

Government Budget

The Indian economy is on a strong wicket and stable footing, demonstrating resilience in the face of geopolitical challenges. The Indian economy has consolidated its post-Covid recovery with policymakers fiscal and monetary ensuring economic and financial stability. Nonetheless, change is the only constant for a country with high growth aspirations. For the recovery to be sustained, there has to be heavy lifting on the domestic front because the environment has become extraordinarily difficult to reach agreements on key global issues such as trade, investment and climate. The headline inflation rate is largely under control, although the inflation rate for some specific food items is elevated. The trade deficit was lower in FY24 than in FY23, and the current account deficit for the year is around 0.7% of GDP. In fact, the current account registered a surplus in the last quarter of the financial year. Foreign exchange reserves are ample. Public investment has sustained capital formation in the last several years even as the private sector shed its balance sheet blues and began investing in FY22. Now, it has to receive the baton from the public sector and sustain the investment momentum in the economy. The signs are encouraging. National income data show that non-financial private-sector capital formation, measured in current prices, expanded vigorously.

With reference to the above passage, the current account comprises?

- 1. Exports and Imports of visible items only.
- 2. Exports and imports of visible and invisible items and external borrowings.
- 3. Exports and imports of goods & services plus transfer payments.
- 4. Short Term Debt.

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.44 Read the given paragraph carefully and answer the following questions.

Government Budget

The Indian economy is on a strong wicket and stable footing, demonstrating resilience in the face of geopolitical challenges. The Indian economy has consolidated its post-Covid recovery with policymakers fiscal and monetary ensuring economic and financial stability. Nonetheless, change is the only constant for a country with high growth aspirations. For the recovery to be sustained, there has to be heavy lifting on the domestic front because the environment has become extraordinarily difficult to reach agreements on key global issues such as trade, investment and climate. The headline inflation rate is largely under control, although the inflation rate for some specific food items is elevated. The

trade deficit was lower in FY24 than in FY23, and the current account deficit for the year is around 0.7% of GDP. In fact, the current account registered a surplus in the last quarter of the financial year. Foreign exchange reserves are ample. Public investment has sustained capital formation in the last several years even as the private sector shed its balance sheet blues and began investing in FY22. Now, it has to receive the baton from the public sector and sustain the investment momentum in the economy. The signs are encouraging. National income data show that non-financial private-sector capital formation, measured in current prices, expanded vigorously.

Trade deficits occur when

1. Export = Import
2. Export > Import
3. Export < Import
4. Export - (Import + external borrowing) = 0

Options 1. 1

2. 2
3. 3
4. 4

Q.45 Read the given paragraph carefully and answer the following questions.

Government Budget

The Indian economy is on a strong wicket and stable footing, demonstrating resilience in the face of geopolitical challenges. The Indian economy has consolidated its post-Covid recovery with policymakers fiscal and monetary ensuring economic and financial stability. Nonetheless, change is the only constant for a country with high growth aspirations. For the recovery to be sustained, there has to be heavy lifting on the domestic front because the environment has become extraordinarily difficult to reach agreements on key global issues such as trade, investment and climate. The headline inflation rate is largely under control, although the inflation rate for some specific food items is elevated. The trade deficit was lower in FY24 than in FY23, and the current account deficit for the year is around 0.7% of GDP. In fact, the current account registered a surplus in the last quarter of the financial year. Foreign exchange reserves are ample. Public investment has sustained capital formation in the last several years even as the private sector shed its balance sheet blues and began investing in FY22. Now, it has to receive the baton from the public sector and sustain the investment momentum in the economy. The signs are encouraging. National income data show that non-financial private-sector capital formation, measured in current prices, expanded vigorously.

Foreign exchange reserves are ample, means?

1. Reserve is sufficient to purchase goods and services from abroad.
2. Anticipated demand for foreign goods and services can be met through incumbent foreign exchange reserve.
3. Supply of foreign reserves is more than demand of foreign reserves.
4. Government is confident about present and future need of foreign reserve.

Options 1. 1

2. 2
3. 3
4. 4

Q.46 Read the given paragraph carefully and answer the following questions.

Total Product, Average Product and Marginal Product

The relationship between the variable input and output, keeping all other inputs constant, is often referred to as total product (TP) of the variable input. Average product (AP) is defined as the output per unit of variable input. Marginal product (MP) of an input is defined as the change in output per unit of change in the input when all other inputs are held constant. According to the law of variable proportions, the marginal product of an input initially rises and then, after a certain level of employment, it starts falling. As long as AP increases, it must be the case that MP is greater than AP. Otherwise, AP cannot rise. Similarly, when AP falls, MP has to be less than AP. It follows that MP curve cuts AP curve from above at its maximum.

In the production of clothes, cotton is defined as.....

1. capital
2. Input.

3. Final Output.
4. Intermediate output

Options 1. 1

2. 2
3. 3
4. 4

Q.47 Read the given paragraph carefully and answer the following questions.

Total Product, Average Product and Marginal Product

The relationship between the variable input and output, keeping all other inputs constant, is often referred to as total product (TP) of the variable input. Average product (AP) is defined as the output per unit of variable input. Marginal product (MP) of an input is defined as the change in output per unit of change in the input when all other inputs are held constant. According to the law of variable proportions, the marginal product of an input initially rises and then, after a certain level of employment, it starts falling. As long as AP increases, it must be the case that MP is greater than AP. Otherwise, AP cannot rise. Similarly, when AP falls, MP has to be less than AP. It follows that MP curve cuts AP curve from above at its maximum.

A firm increased the capital by a unit, which led to a rise in total product from 10 units to 24 units. Further increase in capital in the same quantity leads to an increase in total product to 40 units. What is the difference in change in marginal product?

1. 14
2. 2
3. 30
4. 16

Options 1. 1

2. 2
3. 3
4. 4

Q.48 Read the given paragraph carefully and answer the following questions.

Total Product, Average Product and Marginal Product

The relationship between the variable input and output, keeping all other inputs constant, is often referred to as total product (TP) of the variable input. Average product (AP) is defined as the output per unit of variable input. Marginal product (MP) of an input is defined as the change in output per unit of change in the input when all other inputs are held constant. According to the law of variable proportions, the marginal product of an input initially rises and then, after a certain level of employment, it starts falling. As long as AP increases, it must be the case that MP is greater than AP. Otherwise, AP cannot rise. Similarly, when AP falls, MP has to be less than AP. It follows that MP curve cuts AP curve from above at its maximum.

The case where a marginal product is greater than the average product, where?

1. MP cut AP at Minimum
2. AP remains Constant
3. AP Decreases
4. AP Increases

Options 1. 1

2. 2
3. 3
4. 4

Q.49 Read the given paragraph carefully and answer the following questions.

Total Product, Average Product and Marginal Product

The relationship between the variable input and output, keeping all other inputs constant, is often referred to as total product (TP) of the variable input. Average product (AP) is defined as the output per unit of variable input. Marginal product (MP) of an input is defined as the change in output per unit of change in the input when all other inputs are held constant. According to the law of variable proportions, the marginal product of an input initially rises and then, after a certain level of employment, it starts falling. As long as AP increases, it must be the case that MP is greater than AP. Otherwise, AP cannot rise. Similarly, when AP falls, MP has to be less than AP. It follows that MP curve cuts AP curve from above at its maximum.

The shape of the average product and marginal product curves are.....

1. Both Inverse 'U' Shaped
2. Both 'U' Shaped
3. AP 'U' Shaped and MP Inverse 'U' Shaped
4. MP 'U' Shaped and AP Inverse 'U' shaped

Options 1. 1

2. 2
3. 3
4. 4

Q.50 Read the given paragraph carefully and answer the following questions.

Total Product, Average Product and Marginal Product

The relationship between the variable input and output, keeping all other inputs constant, is often referred to as total product (TP) of the variable input. Average product (AP) is defined as the output per unit of variable input. Marginal product (MP) of an input is defined as the change in output per unit of change in the input when all other inputs are held constant. According to the law of variable proportions, the marginal product of an input initially rises and then, after a certain level of employment, it starts falling. As long as AP increases, it must be the case that MP is greater than AP. Otherwise, AP cannot rise. Similarly, when AP falls, MP has to be less than AP. It follows that MP curve cuts AP curve from above at its maximum.

Keeping the capital as a fixed input, as 3, when the quantity of labor changes from 3 to 4, the total product with labor also rises from 40 to 50 units. What is the average product after the change?

1. .50
2. 13.33
3. 12.5
4. 40

Options 1. 1

2. 2
3. 3
4. 4